Pearson Edexcel Functional Skills – Level 2

Set 8

Time: 75 minutes | Paper Reference **PENR2/S08**

English

Component 2: Reading
Text Booklet

Do not return this Text Booklet with the Question and Answer Booklet.

Instructions

- You should write your answers in the Question and Answer Booklet.
- You must **not** write any responses to questions in this Text Booklet.

Information

- This Text Booklet contains the three texts required for the Level 2 Component 2: Reading exam.
- This Text Booklet must be securely destroyed by the centre immediately after the exam has been completed.

Advice

- Read each text before you answer the questions.

Turn over ▶

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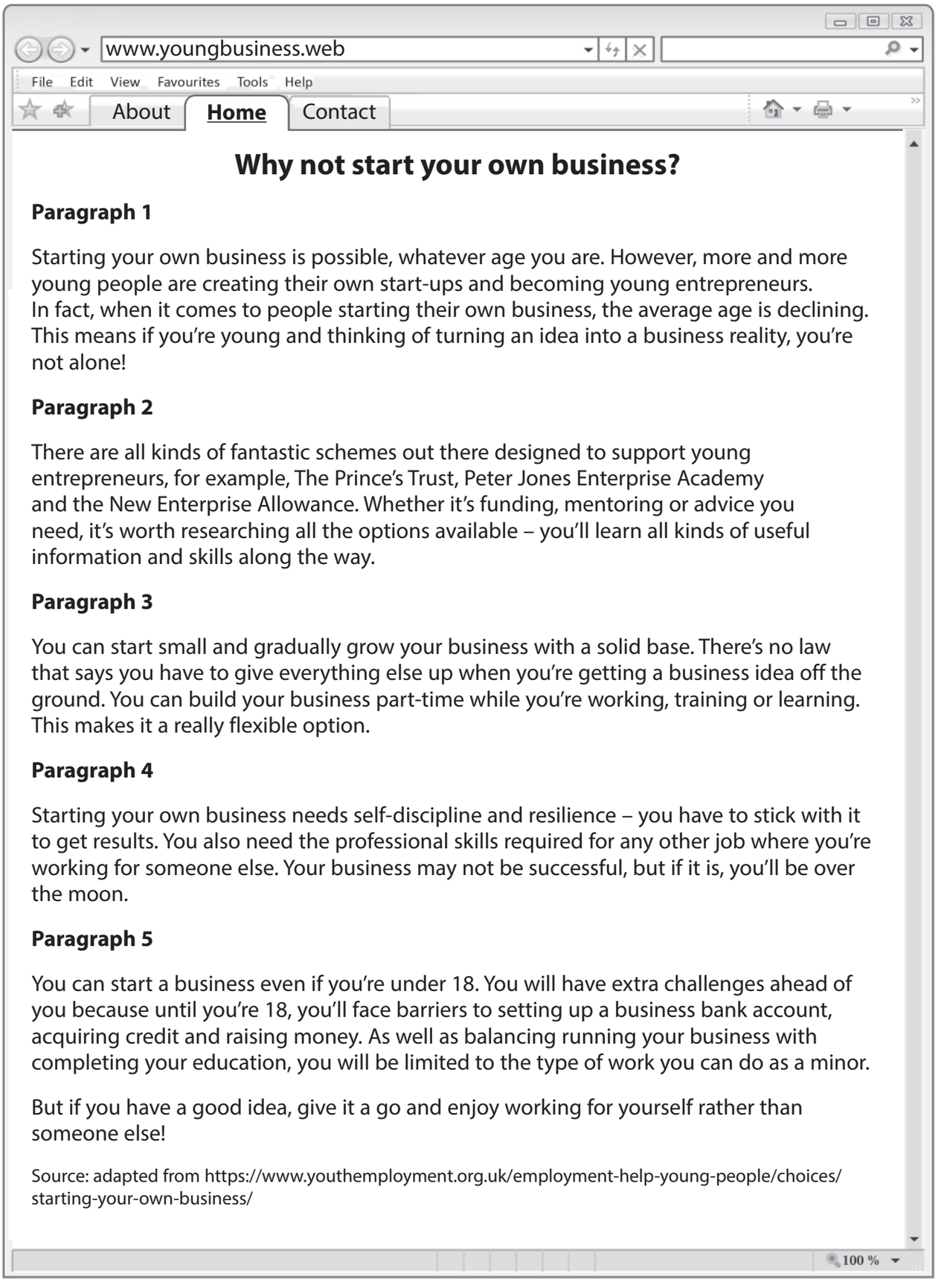
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Pearson

Text A

Webpage



Why not start your own business?

Paragraph 1

Starting your own business is possible, whatever age you are. However, more and more young people are creating their own start-ups and becoming young entrepreneurs. In fact, when it comes to people starting their own business, the average age is declining. This means if you're young and thinking of turning an idea into a business reality, you're not alone!

Paragraph 2

There are all kinds of fantastic schemes out there designed to support young entrepreneurs, for example, The Prince's Trust, Peter Jones Enterprise Academy and the New Enterprise Allowance. Whether it's funding, mentoring or advice you need, it's worth researching all the options available – you'll learn all kinds of useful information and skills along the way.

Paragraph 3

You can start small and gradually grow your business with a solid base. There's no law that says you have to give everything else up when you're getting a business idea off the ground. You can build your business part-time while you're working, training or learning. This makes it a really flexible option.

Paragraph 4

Starting your own business needs self-discipline and resilience – you have to stick with it to get results. You also need the professional skills required for any other job where you're working for someone else. Your business may not be successful, but if it is, you'll be over the moon.

Paragraph 5

You can start a business even if you're under 18. You will have extra challenges ahead of you because until you're 18, you'll face barriers to setting up a business bank account, acquiring credit and raising money. As well as balancing running your business with completing your education, you will be limited to the type of work you can do as a minor.

But if you have a good idea, give it a go and enjoy working for yourself rather than someone else!

Source: adapted from https://www.youthemployment.org.uk/employment-help-young-people/choices/starting-your-own-business/

Text B

Article

Top Tips for Starting a Business

One in five 18 to 34 year olds have a business idea but many are afraid to set up on their own. Some young people are put off because they don't know anyone who has started a business. Another reason is anxiety about getting financial support. A third reason is fear of failing which discourages people from taking the risk. With young people more likely to be unemployed than the rest of the population, there has never been a better time to start your own business so here are some tips for having the courage to take the plunge.

For those who don't know any entrepreneurs, read case studies of start-ups or go to events for people starting a business. You could also take an Enterprise qualification at your local college. Discuss funding with your bank – you may not realise this, but banks often have schemes to support young entrepreneurs. Gain a detailed understanding of your chosen sector, by doing research or getting a temporary job in that field. You also need to know your potential customers inside out and be aware of others in the market so you stay ahead of the game.

Write a business plan to develop and evaluate your ideas – and don't cut corners. Be realistic when you set targets, plan a schedule and consider the costs of setting up a company. There are templates available online and your bank will review your business plan with you. Whatever happens, you'll learn an enormous amount from starting a business and develop skills that will make you more employable.

There are numerous organisations that provide access to support, mentoring and technical training such as:

- Start-up Direct
- Virgin StartUp
- The Youth Enterprise Organisation.

Select a business name that reflects what your company does and is memorable. A well-designed logo can have an instant impact on your customers. Now you are ready to build your website and get your company off the ground.

For information about local networking events where you can meet mentors, check the Young Entrepreneurs website:
www.youngentrepreneurs.web

Text C

Case studies

Nasim

Nasim, aged 21, loved working with animals, but after completing a college course in Animal Care and Canine First Aid, he struggled to find employment. 'I applied for countless jobs, but got nowhere.' Nasim read about the Better Opportunities programme and signed up for it. His mentor Richard suggested setting up on his own, using his qualifications. With his family's support, Nasim started a dog walking company in his local area and concentrated on building up customers' trust and developing his business slowly. 'I started with three dogs and now walk twenty dogs regularly. I plan to expand into dog grooming and obedience classes.' Nasim is delighted he was willing to follow his passion. 'I'm really, really proud of what I've achieved.'

Eva

Eva, aged 17, wanted an income as a teenager but didn't want to work in retail or do a paper round. 'I was more interested in trading online.' Eva started selling her unwanted items through eBay and then friends asked her to do the same for them and paid her commission. She realised there was a market for fashionable merchandise which she could buy and subsequently sell at a profit. 'It's time-consuming and you have to be patient, but I can do it any time of the day or night and fit it round college work.' Eva isn't sure what to do when she leaves college, but thinks she will run her own business. 'I love the idea of growing my own company and being my own boss – my dad will give me advice,' she says.

Cathy

Cathy, aged 26, says: 'I really enjoy making cupcakes and biscuits for special occasions and wanted my own business.' Her first job involved making cupcakes for a friend's wedding which were well-received, so with a loan from her mum, she launched her business, Cathy's Cakes. Initially it flourished and she rented premises and employed an assistant, but after two and a half years, she accepted she wasn't making enough profit, despite working 24/7, and had to close down. 'I hadn't realised how long it would take to make hand-decorated cakes and didn't know how much to charge – it was a nightmare.' Cathy now works for a café as an employee. 'I learnt a huge amount from the experience and intend to start another company in the future. Now, though, it's good to be back working regular hours.'